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HONDURAS

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STAFF REPORT FOR THE 2023 ARTICLE IV CONSULTATION AND REQUESTS FOR AN EXTENDED ARRANGEMENT UNDER THE EXTENDED FUND FACILITY AND AN ARRANGEMENT UNDER THE EXTENDED CREDIT FACILITY—DEBT SUSTAINABILITY ANALYSIS

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Honduras: Joint Bank-Fund Debt Sustainability Analysis	
Risk of external debt distress	Low
Overall risk of debt distress	Moderate
Granularity in the risk rating	Tool not applicable
Application of judgment	No

Honduras' risk of external debt distress is low, while the risk of overall public debt distress is moderate.[1,2] Honduras maintains a strong debt-carrying capacity and while none of the external debt burden indicators breach their respective thresholds, the PV of public debt-to-GDP ratio breaches its threshold under the most severe stress test scenario. Going forward, the authorities should remain committed to prudent policies, including by continuing to strike a sound balance between addressing Honduras' social and investment needs and preserving fiscal and debt sustainability. Sustained efforts to develop the domestic debt market, improve debt management practices, enhance monetary and foreign exchange policy frameworks, and strengthen the energy sector are important safeguards to debt sustainability. The debt sustainability outlook remains vulnerable to policy slippages and risks of exogenous shocks, such as adverse weather events and a deterioration of the global outlook.

[1] This DSA updates the previous joint IMF/WB DSA prepared in August 2021 in the context of Fourth Review under the Stand-By Arrangement and Arrangement under the Standby Credit Facility (IMF Country Report No. 21/207).

[2] Honduras's debt carrying capacity is assessed to be strong based on a composite indicator of 3.13 that uses the April 2023 WEO vintage and the 2021 World Bank CPIA.

PUBLIC DEBT COVERAGE

1. The debt coverage of the public sector is comprehensive (Text Table 2). The debt sustainability analysis (DSA) covers the non-financial public sector (NFPS), which includes the general government and non-financial state-owned enterprises (SOEs). Debt from extrabudgetary trust funds is also included, with the authorities having abolished through legislation all trust funds in 2022.[3] Debt from decentralized agencies such as public universities, public pension funds, and central bank borrowing on behalf of the government is also covered. In addition, the baseline 2022 debt stock includes 2.6 percent of GDP in domestic debt that was previously unaccounted for (Text Table 1), of which (i) 0.3 percent of GDP relates to central government arrears to domestic suppliers; (ii) 1.1 percent of GDP consists of trust funds' debt liabilities,[4] and (iii) 1.2 percent of GDP pertains to arrears to private electricity generators accumulated by the state electricity utility *Empresa Nacional de Energía Eléctrica* (ENEE) owing to continued liquidity shortages given ongoing losses and impacts by the pandemic and the 2020 tropical storms.[5] External debt is defined on a currency basis.[6]

Text Table 1. Honduras: Domestic Debt Regularization

	Lempiras (million)	% GDP
Domestic Debt	**20,500**	**2.6**
Central government	2,165	0.3
Trust funds	8,547	1.1
ENEE	9,788	1.2

Source: Country authorities; and IMF staff calculations.

2. The contingent liability tailored stress test is calibrated to account for public sector debt coverage gaps and risks from contingent liabilities (Text Table 2). First, the default shock of 0 percent of GDP for other entities of the general government is kept unchanged as these are already captured in the coverage of public debt. Second, the default shock of 2 percent of GDP for SOE debt and government-guaranteed private debt is maintained to reflect risks from lawsuits linked to a highway concession project (0.4 percent of GDP) and the electricity utility (1.5 percent of

[3] While trust funds were treated as private entities under Honduran legislation, they should be registered as general government units according to the 2014 GFSM.

[4] The authorities have already recognized and fully repaid the "Tasa de Seguridad" trust fund's debt liabilities of 0.2 percent of GDP by contracting bank loans in January 2023.

[5] Total electricity demand in Honduras increased owing to the COVID-19 lockdown measures in 2020. As part of mitigation measures, the government prohibited ENEE to suspend household electricity services during the crisis and allowed deferred payments. This action contributed to increasing ENEE's accounts receivable and jeopardized the company's ability to pay to private power generators. Additionally, tropical storms Eta and Iota caused extensive damage to the country's power electric infrastructure, including transmission lines, and distribution networks. As a result, ENEE incurred significant expenses to repair and replace the damaged infrastructure, which added to its already considerable debt burden. In addition to the direct costs of repairing the damage caused by the storms, ENEE also experienced significant revenue losses due to the disruption of power supplies. The estimated cost of Eta and Iota is estimated at 246 million lempiras (0.1 percent of GDP) of which 109 million lempiras correspond to damages to infrastructure and 146 million lempiras to losses.

[6] There is no material difference between the residency- and currency-based definitions of external debt as non-residents do not hold domestic debt.

GDP) and to capture the publicly-guaranteed external debt of a financial SOE (0.1 percent of GDP).[7] Third, the default shock to account for risks stemming from public private partnerships (PPPs) is revised to 5.7 percent of GDP to reflect potential liabilities from PPP projects.[8] Fourth, the default minimum value of 5 percent of GDP for the financial market shock is kept unchanged since Honduras' financial sector does not exhibit significant vulnerabilities warranting an upward adjustment.

Text Table 2. Honduras: Public Debt Coverage and Calibration of Contingent Liability Stress Test

	Subsectors of the public sector	Sub-sectors covered
1	Central government	X
2	State and local government	X
3	Other elements in the general government	X
4	o/w: Social security fund	X
5	o/w: Extra budgetary funds (EBFs)	X
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	X

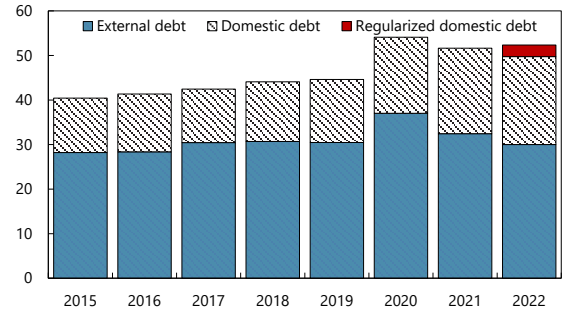
1	The country's coverage of public debt	The entire public sector, including SOEs			
		Default		Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0	percent of GDP	0.0	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2	percent of GDP	2.0	
4	PPP	35	percent of PPP stock	5.7	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5	percent of GDP	5.0	
	Total (2+3+4+5) (in percent of GDP)			12.7	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

BACKGROUND ON DEBT

3. Public and publicly guaranteed (PPG) debt stood at 52.3 percent of GDP in 2022, with external debt accounting for 30 percent of GDP (Table 2). The strong recovery in 2021 led to a moderation in gross public debt, which reached 51.6 percent of GDP in 2021, down by 2.5 percentage points of GDP from 2020. Following growth of 12.5 percent in 2021, real GDP expanded by 4 percent in 2022 on the back of strong domestic demand buoyed by robust remittances flow and a resilient export sector. The

Text Figure 1. Honduras: Public and Publicly Guaranteed Debt
(Percent of GDP)



Sources: Country authorities; and IMF staff calculations.

[7] Please refer to the World Bank Honduras Public Expenditure Review (2022) for a discussion of key fiscal risks and way to strengthen fiscal resilience.

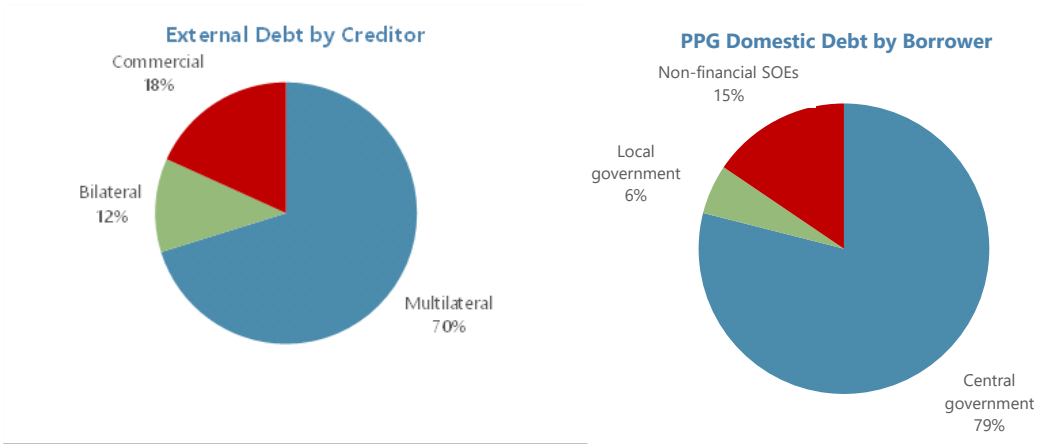
[8] Consistent with the LIC DSF guidance note, the PPP stock is calculated as 35 percent of the country's PPP capital stock from the World Bank database, further updated to account for a PPP project worth 1.6 percent of GDP.

slight uptick in the 2022 debt stock to 52.3 percent of GDP is explained by the recognition of 2.6 percent in domestic debt that was previously unaccounted for.[9]

4. Total external debt moderated from 40.7 percent of GDP in 2021 to 37.1 percent of GDP in 2022 (Table 1). PPG external debt-to-GDP ratio declined to 30.0 percent of GDP in 2022, from 32.5 percent of GDP in 2021, amid higher GDP growth and inflation. 70.4 percent of PPG external debt is owed to multilateral creditors, 11.6 percent to official bilateral creditors, while the remainder is owed to commercial banks or Eurobond holders (Text Figure 2). In nominal terms, total multilateral debt increased by about US$432 million or 6.4 percent y/y in 2022, driven by the public sector. Private external debt declined by US$66.7 million or 2.9 percent y/y in 2022, owing to a moderation in the stock of debt owed to multilateral and commercial creditors.

5. Public debt is mostly held by foreign creditors (Text Figure 2). The main creditors to Honduras are international bondholders and official multilateral creditors, such as the Inter-American Development Bank (IDB), the Central American Bank for Economic Integration (CABEI), and the World Bank. The multilateral institutions provide lending at relatively long maturities. Public domestic debt, which is mainly held by domestic commercial banks, has a shorter—though rising—maturity (over 4 years) and carries a higher real interest rate. Domestic issuances were replaced by borrowing from the Central Bank in 2022. This change in the Debt Management Strategy negatively impacted domestic debt market development and reduced investment opportunities, including for pension funds.

Text Figure 2. Honduras: PPG Debt Stock Composition (Percent, 2022)



Source: Country authorities and staff elaboration.
Note: NFPS domestic debt excluding IMF debt and including regularized domestic debt.

[9] Without the recognition of new domestic debt, the 2022 PPG debt stock would have been 49.7 percent of GDP, i.e., lower than in 2021.

MACROECONOMIC AND POLICY ASSUMPTIONS

6. The main macroeconomic assumptions are based on staff projections and EFF/ECF program targets. Text Table 3 summarizes baseline macroeconomic projections compared to the last published DSA, from August 2021, with the revised baseline reflecting a more benign (than expected) global environment.

- **Real sector.** Real GDP growth is projected to decelerate to 2.9 percent in 2023—in line with lower U.S. and remittances growth— and to gradually converge toward potential (just under 4 percent) supported by strong public investment and the implementation of reforms, as part of the EFF/ECF program and support from other international financial institutions.[10] This is slightly higher than recent historical trend growth,[11] as the Honduran economy is projected to benefit from the program's reform agenda and investment in critical infrastructure, in particular for climate adaptation that will have long-term benefits on growth and poverty.

- **Inflation.** Inflation is projected to continue to fall and return to the BCH reference range (3-5 percent) in 2024, driven mainly by a normalization of global commodity prices and the strengthening of monetary and FX policies. The authorities are committed to further enhancing monetary policy transmission through improvement in liquidity management and strengthening the crawling band exchange rate regime to function properly as a nominal anchor while supporting external competitiveness.

- **Fiscal sector.** The non-financial public sector (NFPS) deficit is expected to widen to 2.0 percent of GDP in 2023 as spending, including capital expenditure, begins to normalize following the restructuring of ministries and elimination of trust funds, which, temporarily aggravated capacity constraints in the public administration and lowered overall capital spending. Thereafter, a gradual fiscal consolidation is assumed to return the NFPS deficit to 1 percent of GDP by 2026, underpinned by the revenue efforts expected during the program, including a major reform of tax exemptions, to create space for investment and priority spending. The envisaged consolidation path would be further supported by an expenditure adjustment to return to pre-pandemic levels, including with the reprioritization of current spending towards social spending.

[10] The authorities are seeking to jumpstart capital investment projects and have identified a list of projects (hospitals, schools, dams, roads) and corresponding potential financing sources. The energy sector will also require large investments over the next few years, in generation, transmission, and distribution. The authorities' public investment agenda includes reforms to strengthen the planning, selection, and monitoring of infrastructure projects in addition to structural reforms strengthening institutions, transparency, combating public-private corruption, and governance, together with improving the management of public finances. An updated Public Investment Management Assessment is planned for late 2023 to help improve investment management including procurement processes.

[11] Real GDP growth averaged 3.9 percent over 2001-19 and 3.7 percent over 2010-2019.

Furthermore, the baseline assumes the gradual reduction of ENEE's stock of domestic arrears.[12] The primary balance is projected to turn positive in the medium term.

- **External sector.** The current account deficit is projected to widen to 5.2 percent in 2023, consistent with the expected deceleration in U.S. and remittance growth, and the adverse ramifications of the energy crisis linked to the regional drought. Reserve adequacy is expected to remain within the recommended 100-150 percent range of the ARA metric and close to 5 months of import cover over the medium term.

- **Financing assumptions.** The DSA assumes that financing needs would be covered by external sources and by domestic borrowing.

    - ***External.*** The baseline assumes net positive financing from international financial institutions (IFIs) over the medium term, with budget and project support provided both by official multilateral and bilateral sources. The baseline also assumes that Honduras would tap international capital markets—as implementation of the ECF/EFF program would further underpin confidence—with Eurobond placements of USD 700 million in 2026 and USD 600 million in 2030 to meet external bond redemptions coming due. The grant element of new external public sector borrowing is projected to average 18.5 percent over 2023-27.

    - ***Domestic.*** In 2022, the authorities resorted to US$1 billion (3.2 percent of GDP) in monetary financing,[13] largely to address liquidity strains. As such, for 2023, the DSA assumes some drawdowns of treasury deposits remaining from this contracting of a loan from the Central Bank and gradual resumption of the regular issuance of Treasury bonds at market rates. Amortizations are assumed to be rolled over as they come due. The baseline also assumes that the authorities will work on deepening the domestic debt market to mitigate liquidity risks in the wake of possible tightening of global financing conditions, and consistent with a sound debt management strategy. This includes issuing domestic debt instruments with increasing maturities and predominantly at fixed rates. The authorities have committed to preparing an annual borrowing plan and a Medium-term Debt Management Strategy (MTDS) at the time of the 2024 budget, underpinned by the recommendations of a joint IMF/World Bank Technical Assistance on debt management.

[12] ENEE has adopted a bond issuance strategy to repay arrears (around 2 percent of GDP at end-2022) to private generators. A first issuance of close to 1 percent of GDP took place in December 2022, with issuance proceeds used to reduce the stock of arrears by an equivalent amount. Further issuances are planned for the remainder of 2023 to finance ENEE's operational deficit and forestall new arrears accumulation.

[13] Contracting of a loan from the from Central Bank of Honduras by the central government in 2022 which was issued following the "exceptional circumstances" provision of the Central Bank law, given declaration of a national emergency in early 2022 due to liquidity shortages in the public administration.

Text Table 3. Honduras: Assumptions for Key Economic Indicators, 2021-43

	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043
Real GDP growth (percent)										
Current DSA	12.5	4.0	2.9	3.2	3.5	3.7	3.8	3.8	3.9	3.9
August 2021 DSA	4.9	4.4	3.5	3.6	3.7	3.9	...	...	...	...
Inflation, Period Average (percent)										
Current DSA	4.5	9.1	6.4	4.7	4.1	4.0	4.0	4.0	4.0	4.0
August 2021 DSA	4.6	3.7	4.0	4.0	4.0	4.0	...	...	...	...
GDP deflator growth (percent)										
Current DSA	3.8	9.1	6.4	4.7	4.1	4.0	4.0	4.0	4.0	4.0
August 2021 DSA	4.6	3.7	4.0	4.0	4.0	4.0	...	...	...	...
Primary balance (percent of GDP)										
Current DSA	-2.3	1.2	-0.7	-0.2	0.0	0.4	0.4	0.5	0.5	0.5
August 2021 DSA	-4.3	-1.3	0.5	0.7	0.3	0.5	...	...	...	...
Overall balance (percent of GDP)										
Current DSA	-3.7	-0.2	-2.0	-1.7	-1.4	-1.0	-0.9	-0.9	-0.6	-0.4
August 2021 DSA	-5.4	-2.3	-1.0	-1.0	-1.0	-1.0	...	...	...	...
Current account balance (percent of GDP)										
Current DSA	-4.6	-3.2	-5.2	-4.9	-4.7	-4.3	-4.1	-3.9	-4.0	-4.0
August 2021 DSA	-3.2	-3.4	-3.6	-3.8	-3.9	-4.0	...	...	...	...
Net FDI (percent of GDP)										
Current DSA	1.8	2.0	2.1	2.2	2.3	2.4	2.5	2.6	2.7	2.8
August 2021 DSA	2.0	2.4	2.7	3.1	3.5	3.8	...	...	...	...

Source: Country authorities and staff elaboration.

7. Tools for assessing the realism of the baseline scenario do not flag significant and systematic deviations from historical experience (Figures 3 and 4).

- **Drivers of debt dynamics**. The contributions of past and projected debt-creating flows for PPG external debt remain broadly unchanged, although the current account and FDI are expected to positively contribute to PPG external debt accumulation relative to historical experience. For total public debt, gradual fiscal adjustment under the EFF/ECF program should curb the contribution of the primary deficit to public debt accumulation more than in the past. A comparison with the distribution of past forecast errors for LICs shows that unexpected changes in debt for Honduras are within the interquartile range for both public and PPG external debt.

- **Realism of planned fiscal adjustment**. The projected three-year fiscal adjustment in the primary balance stands at 1.2 percentage points of GDP between 2023 and 2025 and falls comfortably below the top quartile of the distribution of past adjustments of the primary fiscal deficit derived from the sample of LICs, hence alleviating concerns of credibility of baseline assumptions.

- **Consistency between fiscal adjustment and growth**. The projected growth path for 2023 and 2024 is broadly in line with the multiplier-based projections. The realism of the expected adjustment is predicated on the authorities' commitment to fiscal consolidation, supported by revenue and spending measures, as well as efforts to strengthen the financial position of ENEE.

- **Consistency between public investment and growth**. The contribution of public investment to real GDP growth remains marginal across the previous and current DSA. Public investment is expected to increase to around 4 percent of GDP in the medium term.

COUNTRY CLASSIFICATION AND STRESS TESTS

8. Honduras' debt-carrying capacity is classified as strong (Text Table 4). Debt-carrying capacity is determined by a composite indicator (CI) that combines the World Bank's Country Policy and Institutional Assessment (CPIA) score, external conditions captured by world economic growth, and country-specific factors. Based on the April 2023 WEO vintage and the 2021 CPIA, the CI score for Honduras stands at 3.13, which is above the threshold of 3.05 applicable for a "strong" rating. The CI score reflects positive contributions from the CPIA (42 percent), international reserves (32 percent), world growth (12 percent), remittances (10 percent), and Honduras' real growth rate (3 percent). The debt burden thresholds implied by the strong debt-carrying capacity are summarized in Text Table 5.

Text Table 4. Honduras: CI Score Summary Table

Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.39	3.39	1.31	42%
Real growth rate (in percent)	2.72	3.56	0.10	3%
Import coverage of reserves (in percent)	4.05	48.12	1.95	62%
Import coverage of reserves^2 (in percent)	-3.99	23.16	-0.92	-30%
Remittances (in percent)	2.02	15.49	0.31	10%
World economic growth (in percent)	13.52	2.86	0.39	12%
CI Score			3.13	100%
CI rating			Strong	

Source: IMF staff calculations. The CI cutoff for strong debt-carrying capacity is CI>3.05.

Text Table 5. Honduras: Debt Thresholds and Total Public Debt Benchmarks under Strong Debt-Carrying Capacity

Applicable thresholds

APPLICABLE	
EXTERNAL debt burden thresholds	
PV of debt in % of	
Exports	240
GDP	55
Debt service in % of	
Exports	21
Revenue	23

APPLICABLE	
TOTAL public debt benchmark	
PV of total public debt in percent of GDP	70

Source: IMF staff calculations.

9. The DSA relies on standardized, tailored, and contingent liability stress tests. While all six standardized stress tests apply to Honduras, only the natural disaster and market financing tailored stress tests are triggered. Honduras qualifies for a natural disaster tailored shock due to its exposure to frequent natural catastrophes such as hurricanes and droughts that have been exacerbated by climate change.[14] Honduras also qualifies for the market financing shock due to its outstanding Eurobonds.[15] However, the country does not qualify for a commodity price shock, which requires commodities to constitute at least 50 percent of total goods and services exports over the previous three-year period. While the default settings for the standardized and tailored shocks are considered appropriate for Honduras, the contingent liabilities test is customized as described in paragraph 2.

EXTERNAL DSA

10. None of the PPG external debt burden indicators breach their respective thresholds under the baseline or the most extreme stress test (Figure 1, Tables 1 and 3).

- ***Under the baseline scenario***, all the PPG external debt burden indicators are projected to remain comfortably below their prescribed thresholds throughout the DSA horizon. The PV of PPG external debt ratios to GDP and exports are expected to decline gradually from 2026, averaging 21 and 57 percent over the projection horizon (2023-33). The two peaks observed in 2027 and 2030 on debt service indicators are linked to the repayments of Eurobonds issued in 2017 and 2020.

[14] Specifically, Honduras meets the frequency criteria (2 disasters every 3 years) and economic loss criteria (above 5 percent of GDP per year) that trigger the natural disaster shock under the DSA.

[15] The market financing shock applies to LICs with market access, i.e., those that: (i) have outstanding Eurobonds; or (ii) meet the market access criterion for PRGT graduation but have not graduated due to serious short-term vulnerabilities.

- ***Under the customized stress test scenarios***, none of the PPG external debt burden indicators breaches its threshold. Under the most extreme shock in the standardized stress test – a scenario that combines shocks to growth, the primary balance, exports, other balance of payments flows, and the exchange rate – the PV of PPG external debt-to-GDP ratio is projected to sharply increase to 45.7 percent of GDP in 2026 before gradually receding over the projection horizon. Similarly, the PV of PPG external debt-to-exports peaks to 131.9 percent in 2026 before declining gradually. Both the PV of PPG external debt-to-GDP ratio and debt service-to-revenue ratios appear most sensitive to the stress test scenario that combines various shocks, while the PV of debt-to-exports and debt service-to-exports ratios are most adversely impacted by a shock to exports.

PUBLIC DSA

11. The PV of public debt-to-GDP ratio remains below its benchmark under the baseline but breaches it under the most extreme stress test (Figure 2, Tables 2 and 4).

- ***Under the baseline scenario***, the PV of public debt-to-GDP ratio is projected to gradually decline from 47.4 percent of GDP in 2023 to 42.6 percent of GDP in 2028 and thereafter, reaching 29.3 percent of GDP by 2043. This path is expected to be supported by reforms underpinning the ECF/EFF program which would open fiscal space for investment, while ensuring the return to a fiscal deficit of below 1 percent by 2026. All public debt indicators, including the PV of debt-to-revenue and the debt service-to-revenue ratios remain below their levels suggested in the historical scenario.
- ***Under the customized stress test scenarios,*** the PV of public debt-to-GDP ratio breaches its benchmark in the most extreme scenario—a growth shock—from 2028 onwards, illustrating the vulnerability of public debt dynamics to growth shocks. The growth shock also emerges as the most extreme stress test scenario for the PV of debt-to-revenue and the debt service-to-revenue ratios.

12. Market-financing risk indicators suggest low liquidity risks (Figure 5). The maximum gross financing needs over a 3-year period under the baseline projection horizon are expected to be around 6 percent of GDP, well below the benchmark value of 14 percent. EMBI spreads stood at 376 basis points as of August 18, 2023, below the benchmark level of 570 basis points.[16]

RISK RATING AND VULNERABILITIES

13. Honduras' risk of external debt distress remains low, while the risk of overall public debt distress is moderate. All PPG external debt burden indicators remain below their prescribed thresholds under the baseline and stress scenarios, thereby signaling a low risk of external distress.

[16] In the LIC DSF market financing module, near-term liquidity risks as measured by the projected baseline public gross financing needs over the next three years and current market sentiment as measured by the latest EMBI spread are compared against their respective benchmarks of 14 percent of GDP and 570 bps, respectively. A breach of both benchmarks would signal high market financing pressures.

However, the overall risk of public debt distressed is assessed as moderate—from low in the August 2021 published DSA—as the PV of debt to GDP ratio breaches its benchmark under the most extreme stress test scenario. Notwithstanding, debt-to-GDP ratios are expected to decline in the projection period as the overall fiscal balance gradually adjusts back to below 1 percent of GDP by 2026 in the baseline scenario. Nonetheless, with significant downside risks to the outlook, largely driven by a challenging global environment and adverse weather events, it would be important to consistently adhere to the reform agenda of the ECF/EFF program and continue to strike a balance between urgent investment and social spending needs and safeguarding debt sustainability.

Authorities' Views

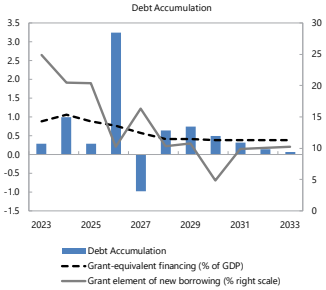
14. The authorities broadly agreed with the assumptions and results of the DSA. They acknowledged downside risks to the outlook, including from climate shocks and a deceleration of the maquila sector, given lower external demand. They noted that market financing risks have been abating, with EMBI spreads for Honduras gradually declining over the past few months. They also reiterated their commitment to transparency with the regularization of domestic debt that was previously unaccounted.

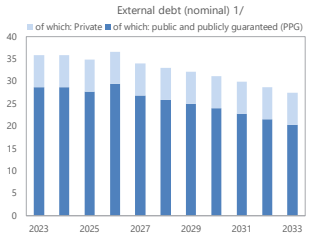
Table 1. Honduras: External Debt Sustainability Framework, Baseline Scenario, 2020-43

(In percent of GDP, unless otherwise indicated)

	Actual			Projections												Average 8/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2043	Historical	Projections
External debt (nominal) 1/	**45.6**	**40.7**	**37.2**	**35.9**	**35.8**	**34.8**	**36.6**	**34.0**	**33.0**	**32.2**	**31.1**	**29.9**	**28.7**	**27.5**	**18.8**	**38.2**	**32.7**
of which: public and publicly guaranteed (PPG)	**37.0**	**32.5**	**30.0**	**28.7**	**28.6**	**27.7**	**29.5**	**26.9**	**25.9**	**25.0**	**23.9**	**22.8**	**21.5**	**20.3**	**11.7**	**30.4**	**25.5**
Change in external debt	6.9	-5.0	-3.5	-1.3	-0.1	-1.0	1.8	-2.6	-1.0	-0.8	-1.1	-1.2	-1.2	-1.2	-0.7		
Identified net debt-creating flows	**-2.3**	**-4.6**	**-3.0**	**2.1**	**1.7**	**1.2**	**0.7**	**0.3**	**0.1**	**0.1**	**0.2**	**0.2**	**0.2**	**0.2**	**0.5**	**-1.7**	**0.6**
Non-interest current account deficit	**-4.3**	**3.6**	**2.2**	**4.2**	**3.9**	**3.7**	**3.3**	**3.1**	**2.9**	**3.0**	**3.1**	**3.0**	**3.1**	**3.1**	**3.5**	**2.8**	**3.3**
Deficit in balance of goods and services	15.4	23.1	23.8	25.2	25.1	24.7	23.9	23.2	22.7	22.4	22.1	21.9	21.5	21.1	17.9	**18.5**	**23.1**
Exports	35.2	38.9	41.9	38.9	37.8	37.7	37.6	37.2	36.9	36.9	36.9	36.9	36.9	36.9	36.9		
Imports	50.6	62.1	65.6	64.1	62.8	62.3	61.5	60.4	59.7	59.3	59.0	58.8	58.4	58.0	54.8		
Net current transfers (negative = inflow)	-25.1	-26.8	-28.2	-27.0	-26.8	-26.6	-26.2	-25.8	-25.4	-24.9	-24.5	-24.1	-23.7	-23.3	-19.6	**-21.9**	**-25.3**
of which: official	-0.3	-0.4	0.0	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	0.0		
Other current account flows (negative = net inflow)	5.4	7.2	6.6	5.9	5.6	5.5	5.6	5.6	5.5	5.5	5.5	5.3	5.3	5.3	5.2	**6.2**	**5.5**
Net FDI (negative = inflow)	**-1.6**	**-1.8**	**-2.0**	**-2.1**	**-2.2**	**-2.3**	**-2.4**	**-2.5**	**-2.6**	**-2.6**	**-2.6**	**-2.6**	**-2.7**	**-2.7**	**-2.8**	**-3.6**	**-2.5**
Endogenous debt dynamics 2/	**3.6**	**-6.3**	**-3.1**	**0.1**	**0.0**	**-0.2**	**-0.2**	**-0.3**	**-0.2**	**-0.3**	**-0.3**	**-0.2**	**-0.2**	**-0.2**	**-0.2**		
Contribution from nominal interest rate	1.5	1.1	1.0	1.1	1.1	1.0	1.0	1.0	1.0	1.0	0.9	0.9	0.9	0.9	0.5		
Contribution from real GDP growth	3.7	-4.8	-1.5	-1.0	-1.1	-1.2	-1.2	-1.3	-1.2	-1.2	-1.2	-1.2	-1.1	-1.1	-0.7		
Contribution from price and exchange rate changes	-1.6	-2.6	-2.7	...	...	...	...	...	...	...	...	...	...	...	...		
Residual 3/	**9.2**	**-0.4**	**-0.5**	**-3.5**	**-1.8**	**-2.2**	**1.1**	**-2.8**	**-1.1**	**-1.0**	**-1.3**	**-1.3**	**-1.4**	**-1.5**	**-1.2**	**2.8**	**-1.5**
of which: exceptional financing	0.0	0.0	0.0	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators																	
PV of PPG external debt-to-GDP ratio	**...**	**...**	**25.4**	**23.9**	**23.6**	**22.7**	**24.5**	**22.2**	**21.6**	**21.1**	**20.4**	**19.5**	**18.5**	**17.6**	**10.2**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**60.6**	**61.4**	**62.5**	**60.2**	**65.2**	**59.7**	**58.5**	**57.1**	**55.1**	**52.8**	**50.2**	**47.5**	**27.6**		
PPG debt service-to-exports ratio	**12.7**	**5.0**	**5.3**	**6.6**	**7.6**	**7.8**	**5.2**	**9.6**	**4.6**	**4.3**	**7.8**	**4.9**	**5.1**	**5.0**	**2.9**		
PPG debt service-to-revenue ratio	**17.3**	**6.9**	**8.0**	**9.6**	**10.5**	**10.6**	**7.1**	**12.8**	**6.1**	**5.7**	**10.3**	**6.4**	**6.7**	**6.6**	**3.8**		
Gross external financing need (Billion of U.S. dollars)	2.1	3.7	3.6	4.2	4.4	4.5	4.1	4.7	4.0	4.1	4.9	4.5	4.7	4.9	6.8		
Key macroeconomic assumptions																	
Real GDP growth (in percent)	-9.0	12.5	4.0	2.9	3.2	3.5	3.7	3.8	3.8	3.9	3.9	3.9	3.9	3.9	3.9	**3.2**	**3.7**
GDP deflator in US dollar terms (change in percent)	4.3	6.0	7.1	4.2	2.3	1.8	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.5	**2.4**	**2.2**
Effective interest rate (percent) 4/	3.8	2.8	2.8	3.1	3.1	3.0	3.0	3.0	3.0	3.1	3.0	3.2	3.2	3.2	3.0	**3.3**	**3.1**
Growth of exports of G&S (US dollar terms, in percent)	-15.9	31.9	19.8	-0.2	2.3	5.0	5.6	4.8	5.0	6.0	6.0	6.0	6.0	6.0	6.5	**4.3**	**4.8**
Growth of imports of G&S (US dollar terms, in percent)	-17.1	46.4	17.8	4.8	3.4	4.5	4.4	4.0	4.5	5.4	5.4	5.6	5.3	5.3	5.8	**5.9**	**4.8**
Grant element of new public sector borrowing (in percent)	...	...	...	24.9	20.5	20.4	10.2	16.3	10.3	10.8	4.9	9.9	10.0	10.3	0.0	**...**	**13.5**
Government revenues (excluding grants, in percent of GDP)	25.9	28.0	28.0	26.9	27.5	27.8	27.8	27.8	27.8	27.9	27.9	27.9	27.9	27.9	27.9	**28.5**	**27.7**
Aid flows (in Billion of US dollars) 5/	0.4	0.3	0.4	0.3	0.2	0.3	0.2	0.3	0.2	0.2	0.2	0.2	0.2	0.2	0.3		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	0.9	1.1	0.9	0.8	0.6	0.4	0.4	0.4	0.4	0.4	0.4	0.3	**...**	**0.6**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	34.6	28.4	29.8	16.3	28.5	25.4	25.7	14.6	26.9	27.6	28.5	38.3	**...**	**26.0**
Nominal GDP (Billion of US dollars)	24	28	32	34	36	38	40	42	45	47	50	53	57	60	108		
Nominal dollar GDP growth	-5.0	19.3	11.4	7.2	5.6	5.3	5.8	5.9	5.9	6.0	6.0	6.0	6.0	6.0	6.5	**5.7**	**6.0**
Memorandum items:																	
PV of external debt 7/	...	...	32.5	31.1	30.8	29.8	31.7	29.4	28.8	28.2	27.5	26.7	25.7	24.7	17.4		
In percent of exports	...	...	77.7	79.8	81.5	79.3	84.2	79.0	77.9	76.5	74.6	72.2	69.6	67.0	47.0		
Total external debt service-to-exports ratio	42.3	29.2	26.7	26.4	27.9	28.2	25.0	28.5	23.0	22.2	25.2	21.7	21.4	20.8	15.2		
PV of PPG external debt (in Billion of US dollars)			8.0	8.1	8.5	8.6	9.8	9.4	9.7	10.0	10.2	10.4	10.5	10.5	11.0		
(PVt-PVt-1)/GDPt-1 (in percent)				0.3	1.0	0.3	3.2	-1.0	0.6	0.7	0.5	0.3	0.1	0.1	0.0		
Non-interest current account deficit that stabilizes debt ratio	-11.2	8.5	5.7	5.5	4.0	4.6	1.5	5.6	3.9	3.8	4.2	4.2	4.3	4.3	4.2		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

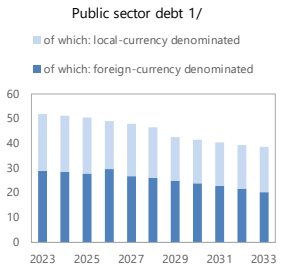
1/ Includes both public and private sector external debt.
2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.
3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.
The sizable 2020 residual is largely explained by the IMF and other IFI financing.
4/ Current-year interest payments divided by previous period debt stock.
5/ Defined as grants, concessional loans, and debt relief.
6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).
7/ Assumes that PV of private sector debt is equivalent to its face value.
8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 2. Honduras: Public Debt Sustainability Framework, Baseline Scenario, 2020-43

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
Public sector debt 1/	**54.1**	**51.6**	**52.3**	**51.9**	**51.3**	**50.4**	**49.1**	**47.8**	**46.6**	**38.5**	**30.7**	**44.7**	**45.4**
of which: external debt	**37.0**	**32.5**	**30.0**	**28.7**	**28.6**	**27.7**	**29.5**	**26.9**	**25.9**	**20.3**	**11.7**	**30.4**	**25.5**
Change in public sector debt	9.5	-2.5	0.7	-0.4	-0.7	-0.9	-1.2	-1.3	-1.2	-0.9	-0.9		
Identified debt-creating flows	**6.5**	**-4.6**	**-6.4**	**-0.9**	**-0.7**	**-0.8**	**-1.2**	**-1.2**	**-1.2**	**-0.9**	**-0.9**	**-0.5**	**-1.0**
Primary deficit	**4.2**	**2.3**	**-1.2**	**0.7**	**0.2**	**0.0**	**-0.4**	**-0.4**	**-0.5**	**-0.5**	**-0.5**	**1.5**	**-0.2**
Revenue and grants	26.6	28.6	28.4	27.2	27.9	28.2	28.1	28.1	28.1	28.2	28.2	**29.2**	**28.0**
of which: grants	0.6	0.5	0.4	0.3	0.4	0.3	0.3	0.3	0.3	0.3	0.3		
Primary (noninterest) expenditure	30.7	30.9	27.1	27.9	28.1	28.1	27.8	27.7	27.6	27.7	27.7	**30.7**	**27.8**
Automatic debt dynamics	**2.7**	**-6.6**	**-4.9**	**-1.4**	**-0.7**	**-0.6**	**-0.7**	**-0.7**	**-0.6**	**-0.5**	**-0.4**		
Contribution from interest rate/growth differential	4.5	-7.0	-4.7	-1.4	-0.7	-0.6	-0.7	-0.7	-0.6	-0.5	-0.4		
of which: contribution from average real interest rate	0.1	-1.0	-2.7	0.1	0.9	1.1	1.2	1.1	1.1	1.0	0.8		
of which: contribution from real GDP growth	4.4	-6.0	-2.0	-1.5	-1.6	-1.7	-1.8	-1.8	-1.8	-1.5	-1.2		
Contribution from real exchange rate depreciation	-1.8	0.4	-0.2	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**-0.4**	**-0.3**	**-0.3**	**-0.3**	**-0.2**	**-0.2**	**-0.2**	**-0.2**	**-0.1**	**0.0**	**0.0**	**-0.4**	**-0.1**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	-0.4	-0.3	-0.3	-0.3	-0.2	-0.2	-0.2	-0.2	-0.1	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**2.9**	**2.2**	**7.1**	**0.5**	**0.0**	**-0.1**	**0.0**	**-0.1**	**0.0**	**0.0**	**0.0**	**3.0**	**-0.2**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**47.8**	**47.4**	**46.5**	**45.6**	**44.4**	**43.4**	**42.6**	**35.9**	**29.3**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**168.5**	**174.1**	**166.7**	**162.0**	**158.0**	**154.5**	**151.5**	**127.7**	**104.2**		
Debt service-to-revenue and grants ratio 3/	**16.9**	**6.8**	**7.9**	**20.6**	**23.0**	**23.1**	**18.6**	**23.1**	**19.0**	**18.1**	**16.8**		
Gross financing need 4/	8.3	3.9	0.7	6.0	6.4	6.3	4.7	6.0	4.7	4.6	4.3		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	-9.0	12.5	4.0	2.9	3.2	3.5	3.7	3.8	3.8	3.9	3.9	**3.2**	**3.7**
Average nominal interest rate on external debt (in percent)	4.0	2.9	2.9	3.2	3.3	3.2	3.2	3.3	3.4	3.9	4.3	**3.6**	**3.4**
Average real interest rate on domestic debt (in percent)	-5.1	-3.5	-8.4	1.4	2.7	3.4	3.6	3.6	3.8	3.8	2.7	**-4.5**	**3.4**
Real exchange rate depreciation (in percent, + indicates depreciation)	-5.1	1.3	-0.7	...	...	...	...	...	...	...	...	**0.0**	**...**
Inflation rate (GDP deflator, in percent)	5.4	3.6	9.1	5.8	4.7	4.1	4.0	4.0	4.0	4.0	5.1	**4.8**	**4.2**
Growth of real primary spending (deflated by GDP deflator, in percent)	-6.0	13.1	-8.6	5.7	4.1	3.5	2.3	3.8	3.4	3.9	3.9	**1.6**	**3.9**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-5.3	4.8	-1.9	1.1	0.9	0.9	0.8	0.9	0.8	0.5	0.4	**-0.8**	**1.0**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**No**



Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The entire public sector, including SOEs . Definition of external debt is Currency-based. -0.7 -0.9 -1.2 -1.3 -1.2 -4.1

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Honduras: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2023-33

(In percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of debt-to GDP ratio											
Baseline	24	24	23	25	22	22	21	20	20	19	18
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	24	21	18	19	15	14	12	10	9	7	6
B. Bound Tests											
B1. Real GDP growth	24	26	27	29	26	25	25	24	23	22	21
B2. Primary balance	24	25	26	28	25	25	25	24	23	22	21
B3. Exports	24	29	38	40	37	36	36	34	33	31	29
B4. Other flows 3/	24	33	42	43	41	40	39	38	36	34	32
B5. Depreciation	24	30	20	23	20	19	19	18	17	17	16
B6. Combination of B1-B5	24	37	44	46	43	42	41	40	38	36	33
C. Tailored Tests											
C1. Combined contingent liabilities	24	27	26	28	26	25	26	26	25	24	23
C2. Natural disaster	24	27	26	28	26	25	26	26	25	24	24
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	24	26	25	27	25	24	24	23	22	21	20
Threshold	55	55	55	55	55	55	55	55	55	55	55
PV of debt-to-exports ratio											
Baseline	61	63	60	65	60	59	57	55	53	50	48
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	61	56	49	49	41	37	33	28	24	20	15
B. Bound Tests											
B1. Real GDP growth	61	63	60	65	60	59	57	55	53	50	48
B2. Primary balance	61	65	69	74	68	67	67	66	64	61	58
B3. Exports	61	86	126	132	125	123	120	116	111	105	99
B4. Other flows 3/	61	88	111	115	110	108	106	102	97	92	86
B5. Depreciation	61	63	43	48	43	41	40	38	37	36	34
B6. Combination of B1-B5	61	98	103	123	117	116	113	109	104	98	92
C. Tailored Tests											
C1. Combined contingent liabilities	61	72	70	75	70	69	72	70	68	65	62
C2. Natural disaster	61	73	71	76	71	70	73	72	70	67	65
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	61	63	60	65	60	59	58	56	53	50	48
Threshold	240	240	240	240	240	240	240	240	240	240	240
Debt service-to-exports ratio											
Baseline	7	8	8	5	10	5	4	8	5	5	5
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	7	8	7	5	9	4	3	6	3	3	3
B. Bound Tests											
B1. Real GDP growth	7	8	8	5	10	5	4	8	5	5	5
B2. Primary balance	7	8	8	6	10	5	5	8	6	6	6
B3. Exports	7	9	11	9	15	8	8	13	10	11	10
B4. Other flows 3/	7	8	9	7	12	7	6	11	9	9	9
B5. Depreciation	7	8	8	4	9	4	4	7	3	4	4
B6. Combination of B1-B5	7	8	10	8	13	7	7	12	10	10	10
C. Tailored Tests											
C1. Combined contingent liabilities	7	8	8	6	10	5	5	8	5	6	6
C2. Natural disaster	7	8	8	6	10	5	5	9	6	6	6
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	7	8	8	5	10	5	4	8	9	5	5
Threshold	21	21	21	21	21	21	21	21	21	21	21
Debt service-to-revenue ratio											
Baseline	10	10	11	7	13	6	6	10	6	7	7
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	10	10	10	6	12	5	4	9	4	4	4
B. Bound Tests											
B1. Real GDP growth	10	11	12	8	15	7	7	12	8	8	8
B2. Primary balance	10	10	11	8	13	7	6	11	8	8	8
B3. Exports	10	11	12	10	16	9	8	14	11	11	11
B4. Other flows 3/	10	10	12	10	16	9	8	15	12	12	12
B5. Depreciation	10	13	13	8	15	7	6	12	6	6	6
B6. Combination of B1-B5	10	11	14	11	17	10	9	16	13	13	13
C. Tailored Tests											
C1. Combined contingent liabilities	10	10	11	8	13	7	6	11	7	8	7
C2. Natural disaster	10	10	11	8	13	7	6	11	7	8	7
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	10	10	11	7	13	6	6	11	11	7	7
Threshold	23	23	23	23	23	23	23	23	23	23	23

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

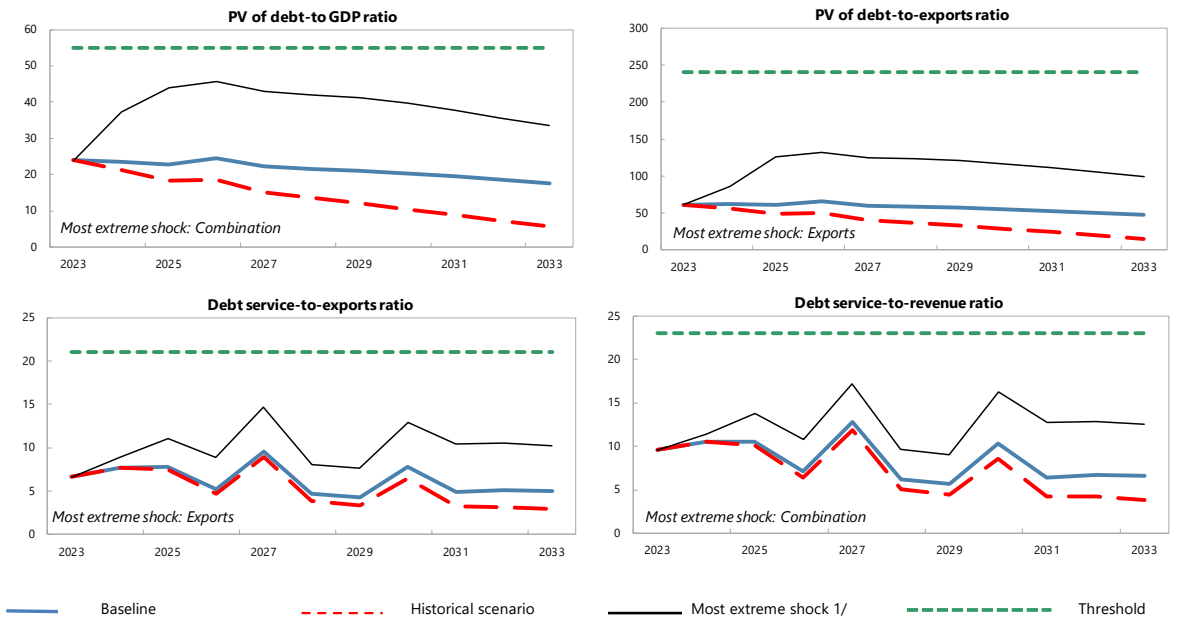
Table 4. Honduras: Sensitivity Analysis for Key Indicators of Public Debt, 2023-33

(In percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of Debt-to-GDP Ratio											
Baseline	47	47	46	44	43	43	39	38	37	37	36
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	47	48	48	49	49	50	48	49	51	52	53
B. Bound Tests											
B1. Real GDP growth	47	53	61	64	68	**72**	**72**	**76**	**79**	**83**	**87**
B2. Primary balance	47	50	54	53	52	51	48	47	46	45	45
B3. Exports	47	51	59	58	56	55	51	50	49	47	46
B4. Other flows 3/	47	56	65	63	62	61	57	56	54	52	50
B5. Depreciation	47	50	46	43	40	37	32	29	27	24	22
B6. Combination of B1-B5	47	48	51	51	51	51	48	47	47	47	47
C. Tailored Tests											
C1. Combined contingent liabilities	47	59	58	57	56	55	51	50	49	48	48
C2. Natural disaster	47	57	57	56	55	55	51	51	50	50	50
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	47	47	46	44	43	43	39	38	37	37	36
TOTAL public debt benchmark	70	70	70	70	70	70	70	70	70	70	70
PV of Debt-to-Revenue Ratio											
Baseline	174	167	162	158	155	152	138	135	133	130	128
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	174	171	171	173	176	179	172	176	180	183	187
B. Bound Tests											
B1. Real GDP growth	174	189	216	228	241	255	255	268	282	295	308
B2. Primary balance	174	180	193	189	186	183	169	166	163	161	158
B3. Exports	174	183	209	204	200	197	182	179	173	168	163
B4. Other flows 3/	174	202	230	225	221	217	203	198	191	185	179
B5. Depreciation	174	178	165	153	143	133	113	104	95	86	77
B6. Combination of B1-B5	174	172	183	182	181	180	169	169	168	168	167
C. Tailored Tests											
C1. Combined contingent liabilities	174	211	206	202	198	195	181	178	175	172	170
C2. Natural disaster	174	206	202	199	197	195	182	181	179	178	176
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	174	167	162	158	155	152	138	136	133	130	128
Debt Service-to-Revenue Ratio											
Baseline	21	23	23	19	23	19	18	25	17	18	18
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	21	23	23	19	24	20	22	30	23	25	26
B. Bound Tests											
B1. Real GDP growth	21	25	28	24	30	26	31	44	36	39	41
B2. Primary balance	21	23	24	21	25	21	27	35	20	22	22
B3. Exports	21	23	24	21	25	21	20	28	21	22	22
B4. Other flows 3/	21	23	25	21	26	22	21	30	23	24	23
B5. Depreciation	21	23	25	19	25	19	18	23	16	16	16
B6. Combination of B1-B5	21	23	25	22	27	22	22	29	21	23	23
C. Tailored Tests											
C1. Combined contingent liabilities	21	23	26	21	26	22	43	29	21	22	22
C2. Natural disaster	21	23	26	21	26	22	39	30	22	23	23
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	21	23	23	19	23	19	19	26	22	18	18

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.

Figure 1. Honduras: Indicators of Public and Publicly Guaranteed External Debt Under Alternative Scenarios, 2023-33



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	No	
Natural disaster	No	No
Commodity price	n.a.	n.a.
Market financing	No	No

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

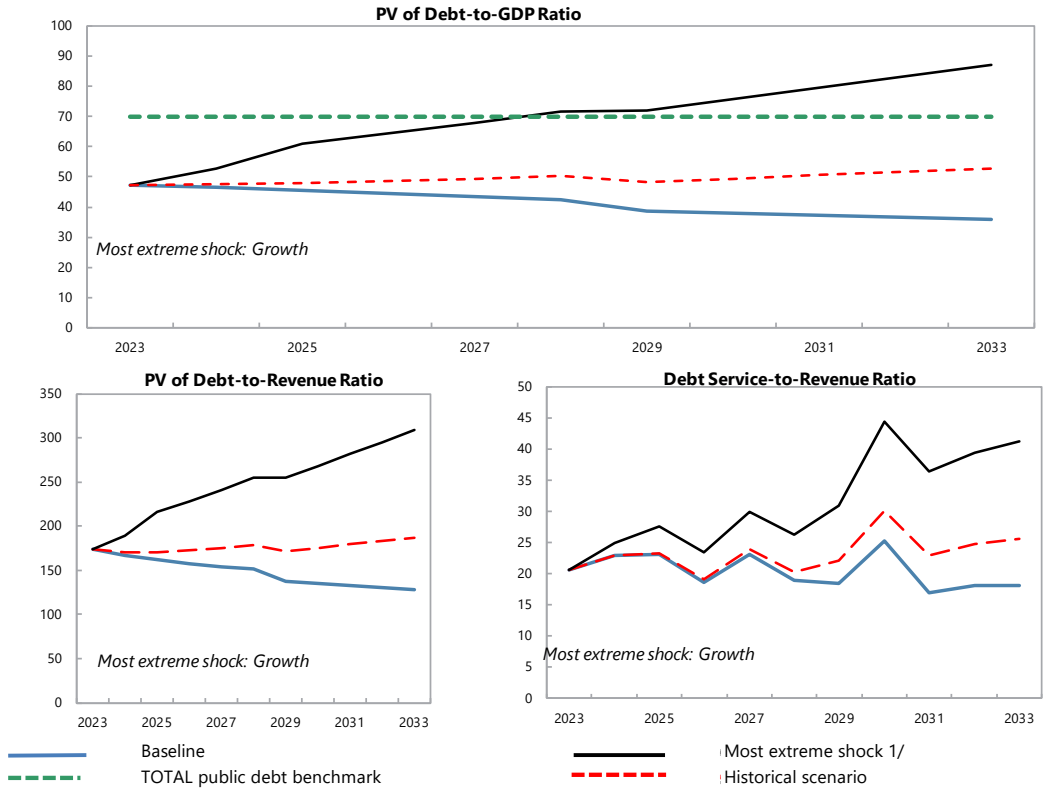
Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	4.2%	4.2%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	22	22
Avg. grace period	5	5

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 2. Honduras: Indicators of Public Debt Under Alternative Scenarios, 2023-33



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	38%	30%
Domestic medium and long-term	62%	70%
Domestic short-term	0%	0%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	4.2%	4.2%
Avg. maturity (incl. grace period)	22	22
Avg. grace period	5	5
Domestic MLT debt		
Avg. real interest rate on new borrowing	4.1%	4.1%
Avg. maturity (incl. grace period)	7	5
Avg. grace period	4	4
Domestic short-term debt		
Avg. real interest rate	0.0%	0.0%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

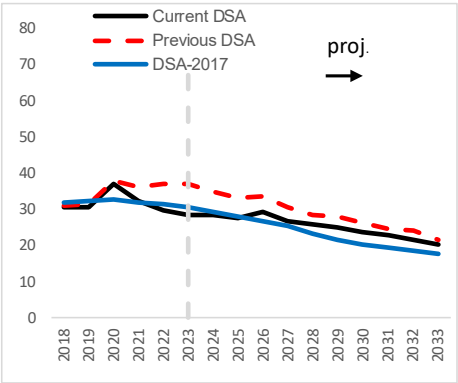
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

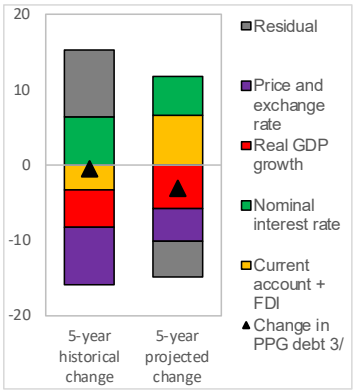
Figure 3. Honduras: Drivers of Debt Dynamics—Baseline Scenario

External debt

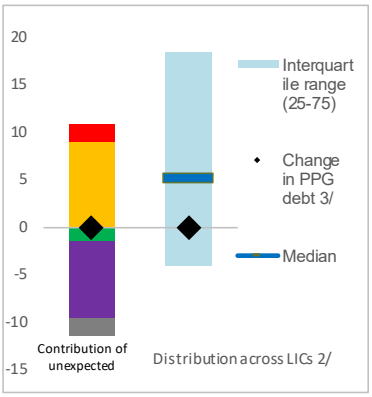
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

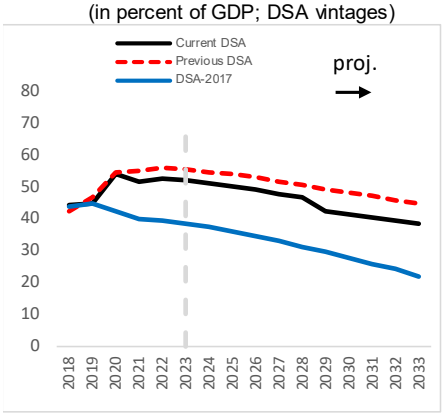


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

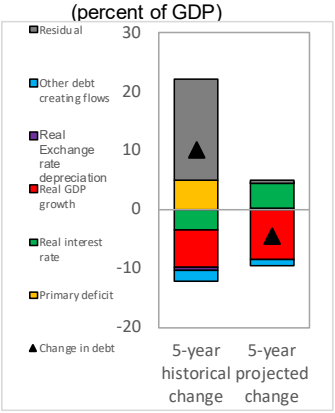


Public debt

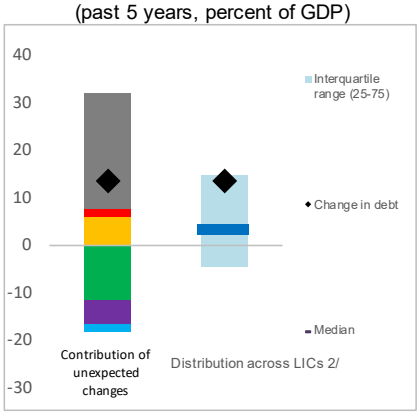
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



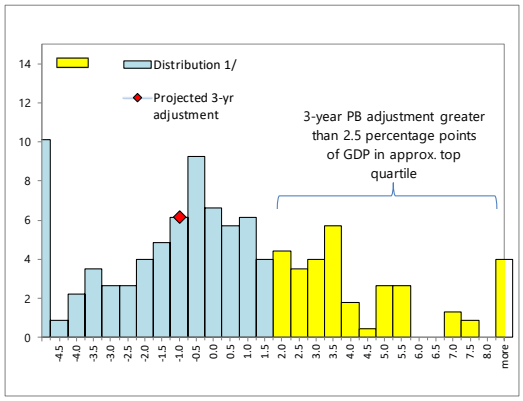
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

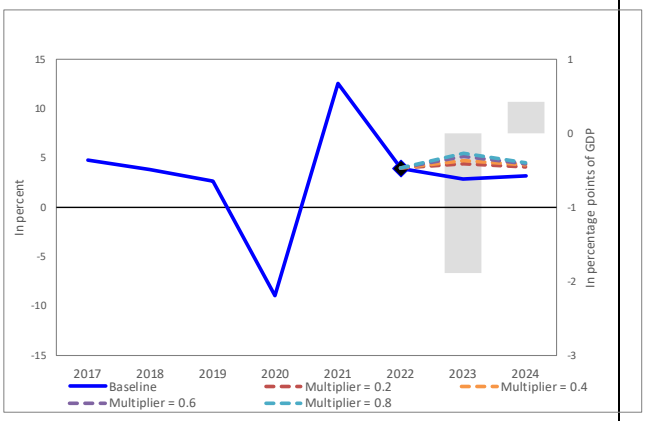
Figure 4. Honduras: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



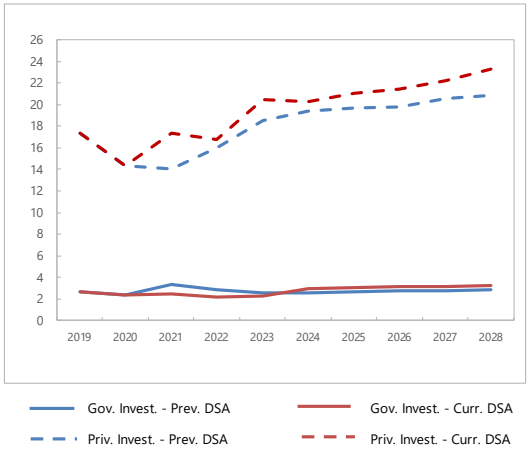
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



Contribution to Real GDP growth
(percent, 5-year average)

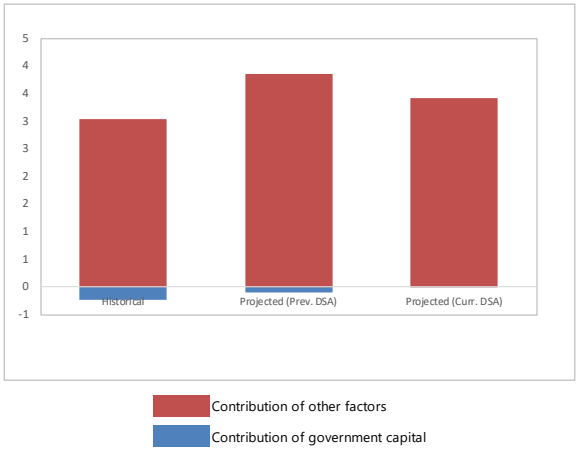
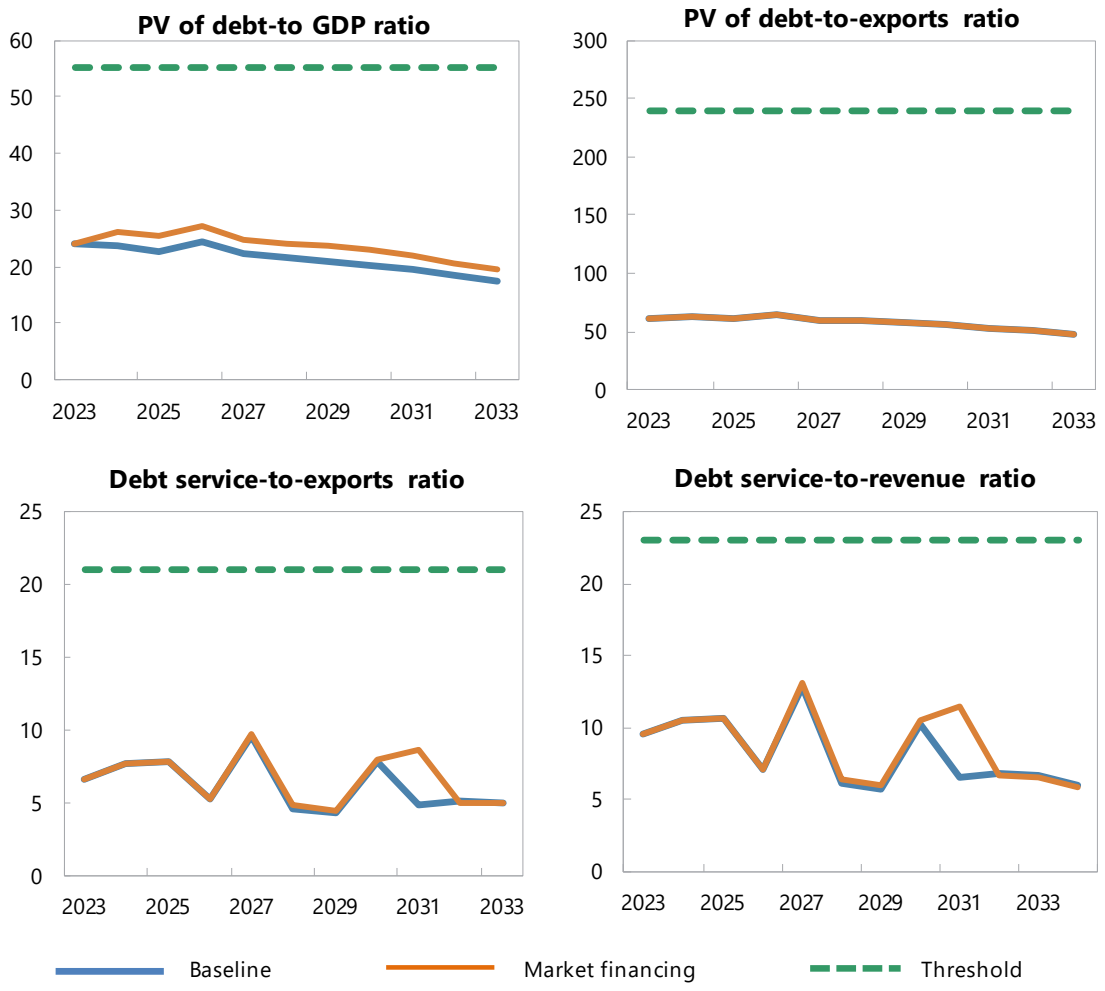


Figure 5. Honduras: Market Financing Risk Indicators

	GFN 1/	EMBI 2/
Benchmarks	14	570
Values	6	376
Breach of benchmark	No	No
Potential heightened liquidity needs	Low	

1/ Maximum gross financing needs (GFN) over 3-year baseline projection horizon.
2/ EMBI spreads correspond to the latest available data.



Sources: Country authorities; and staff estimates and projections.